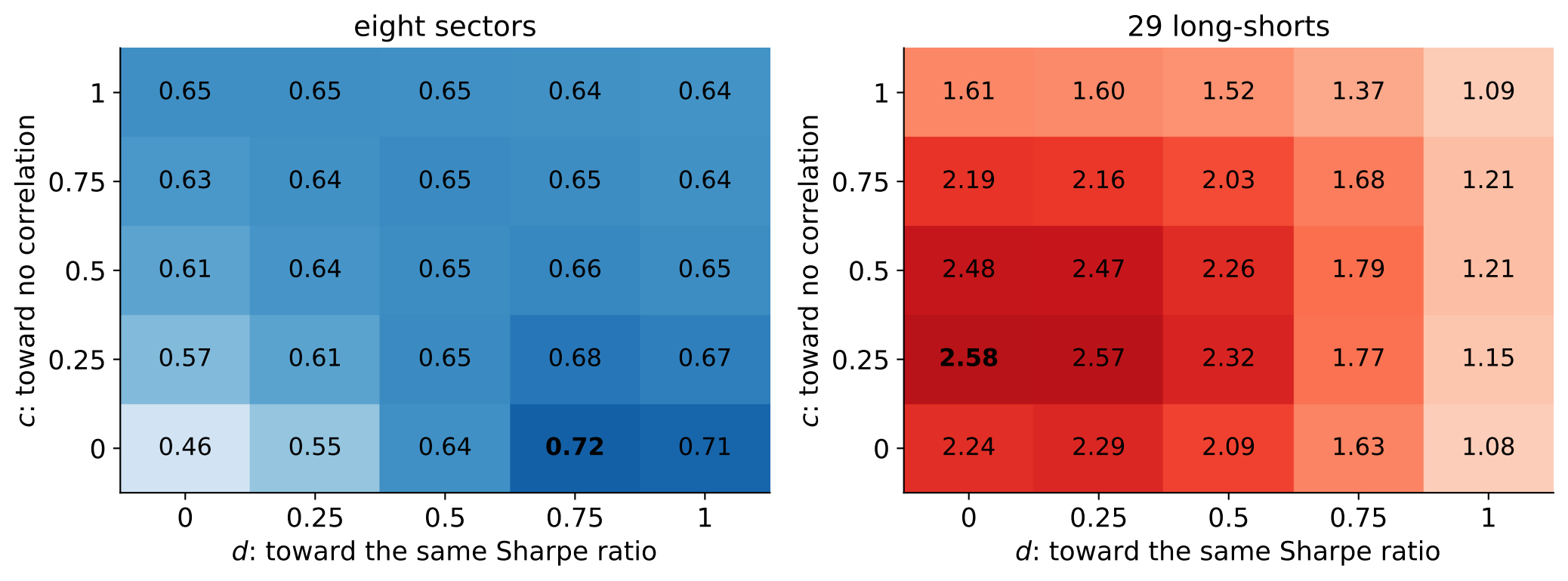
eight sectors
c: toward no correlation
1
0.75
0.5
0.25
0
0.65 0.65 0.65 0.64 0.64
0.63 0.64 0.65 0.65 0.64
0.61 0.64 0.65 0.66 0.65
0.57 0.61 0.65 0.68 0.67
0.46 0.55 0.64 0.72 0.71
0 0.25 0.5 0.75 1
d: toward the same Sharpe ratio
29 long-shorts
c: toward no correlation
1
0.75
0.5
0.25
0
1.61 1.60 1.52 1.37 1.09
2.19 2.16 2.03 1.68 1.21
2.48 2.47 2.26 1.79 1.21
2.58 2.57 2.32 1.77 1.15
2.24 2.29 2.09 1.63 1.08
0 0.25 0.5 0.75 1
d: toward the same Sharpe ratio